

FIRST ABU DHABI BANK

Corporate Banking — Product Management

CORPORATE TERM LOAN — PRODUCT MANUAL

Product Structure, Eligibility, Pricing, and Term Sheet Standards

Document Reference	FAB-PM-CTL-2024-v2.0
Product	Corporate Term Loan (AED and Foreign Currency)
Effective Date	1 March 2024
Owner	Head of Corporate Lending Products
Target Segment	Corporate clients with annual turnover > AED 50 million
Classification	Internal — Relationship Manager Use Only

1. Product Overview

FAB's Corporate Term Loan (CTL) is a bilateral lending product designed for corporate clients seeking medium-to-long-term financing for capital expenditure, project finance, acquisition finance, or general corporate purposes. The CTL is FAB's primary relationship lending product in the corporate segment and is the product type most frequently processed through the GERNAS Pricing Agent.

1.1 Product Parameters

Parameter	Specification
Minimum Facility Size	AED 5,000,000 (or foreign currency equivalent)
Maximum Facility Size	Subject to single-obligor limits (FAB-CRP-CONC-2024-v1.8)
Eligible Tenors	12, 24, 36, 48, 60, 72, 84 months (standard); longer tenors require GCC approval
Eligible Currencies	AED, USD, EUR, GBP, JPY, CNY (CNY subject to treasury availability)
Interest Rate Type	Floating (EIBOR/SOFR + spread) or fixed rate
Repayment Structure	Bullet, amortising (equal instalments), or sculpted (cash flow linked)
Security	Unsecured (investment grade) or secured (see Section 3)
Eligible Purpose	Capex, acquisition, working capital supplement, refinancing (not margin lending or speculative purposes)

2. Eligibility Criteria

2.1 Client Eligibility

The Corporate Term Loan is available to clients that meet all of the following eligibility criteria:

- Incorporated and operating entity with audited financial statements for a minimum of two years.
- Annual turnover exceeding AED 50 million (or foreign currency equivalent) as evidenced by audited accounts.
- FAB internal credit rating of B or above (CCC and below are not eligible without GCC waiver).
- Clean KYC status — no outstanding AML flags or sanctions screening alerts.
- Satisfactory credit bureau check with no material adverse information within the preceding 24 months.

2.2 Excluded Purposes

The Corporate Term Loan may not be used for the following purposes:

- Margin lending, trading in securities, or investment in mutual funds or hedge funds.
- Financing of activities prohibited under UAE law or FAB's Prohibited Sectors List (PSL-2024).
- Refinancing of existing FAB facilities at below-market pricing without proper exception approval.

3. Pricing Structure

3.1 Standard Pricing Components

The all-in pricing for a Corporate Term Loan comprises the following components, all of which must be included in the pricing model submitted for credit approval:

Pricing Component	Typical Range	Description
Base Rate (FTP)	Set by Treasury monthly	Matched-maturity internal cost of funds; AED EIBOR-based for AED facilities; SOFR-based for USD
Credit Spread (Margin)	65–450 bps over FTP	Risk-based spread reflecting client rating, security, and tenor; subject to floors in FAB-POL-PRICE-2024-v2.4
Arrangement Fee	30–100 bps of facility amount	One-time fee payable at signing or first drawdown; included in RAROC calculation on annualised basis
Commitment Fee	0–40 bps p.a. on undrawn	Applicable to facilities with availability period > 30 days; standard commitment fee is 35% of applicable margin
Agency Fee	USD 15,000 – 50,000 p.a.	Applicable where FAB acts as Facility Agent in syndicated structures

3.2 Pricing Floors — Reference to Credit Pricing Policy

Minimum pricing floors applicable to all Corporate Term Loans are governed by FAB's Credit Pricing Policy (FAB-POL-PRICE-2024-v2.4), Section 3.1. The GERNAS Pricing Agent will automatically retrieve applicable floors from the Knowledge Graph based on the client's credit rating, facility tenor, and currency. Relationship Managers must not override the floor without a documented Pricing Exception as per Section 6 of the Credit Pricing Policy.

PRICING AGENT USERS: When using the GERNAS Pricing Agent for CTL pricing, input the following parameters to ensure correct floor retrieval: `product_type = 'corporate_term_loan'`, `tenor_months = [actual months]`, `currency = [AED/USD/etc]`, `client_rating = [FAB internal rating]`. The agent will retrieve the applicable floor from the Knowledge Graph and validate all scenarios against it.

4. Fee Schedule — Standard Terms

Fee	Standard Rate	Floor Rate	Notes
Arrangement Fee — < AED 50M	60 bps	30 bps	Minimum subject to Pricing Exception if below floor
Arrangement Fee — AED 50M–250M	50 bps	35 bps	Payable at signing; non-refundable
Arrangement Fee — > AED 250M	40 bps	30 bps	Negotiable; GCC approval required below 35 bps
Commitment Fee	35% of margin	Min 20 bps p.a.	On undrawn portion during availability period

Prepayment Fee — Year 1	1.0% of prepaid amount	Not waivable	Protects FAB's funding cost hedges
Prepayment Fee — Years 2-3	0.5% of prepaid amount	Not waivable in Year 2; negotiable in Year 3	
Amendment Fee	AED 25,000 flat	Not waivable	Per material amendment to facility terms

5. Documentation and Credit Approval

5.1 Required Documentation for Credit Approval

1. Completed Credit Application Form (CAF) — FAB-CAF-CORP-2024.
2. Audited financial statements — minimum 3 years; most recent year within 18 months.
3. Management accounts if audited accounts are older than 12 months.
4. Financing purpose documentation — project plans, acquisition agreements, capex schedules as applicable.
5. KYC documentation as per FAB's KYC Policy (FAB-POL-KYC-2024).
6. GERNAS Pricing Agent output — full recommendation with supporting scenarios, RAROC calculation, and MRM Evidence Pack.
7. Pricing Exception documentation if applicable (Section 6 of FAB-POL-PRICE-2024-v2.4).

DOCUMENTATION NOTE: The GERNAS Pricing Agent MRM Evidence Pack (item 6 above) is a mandatory document for all credit approval submissions effective 1 June 2024. Credit proposals submitted without the MRM Evidence Pack will be returned without review.